



Nation Media Group Limited

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Directors
W.D.Kiboro, Chairman
L.W. Gitahi, Group Chief Executive
D.Aluanga
R.Dowden (British)
S.Gitagama
L.Huebner (American)
Y.Jetha (British)

S.Kagugube (Ugandan)
N. Karago
J.Montgomery (British)
O.Mugenda
Z.Muro (Tanzanian)
F.O.Okello
A.Poonawala (Swiss)
G.M Wilkison (Irish)

28th August 2014

Chief Executive
Nairobi Securities Exchange
55 Westlands Road
Nairobi

Dear Sir



RE: NATION MEDIA GROUP LTD – HALF YEAR UNAUDITED ACCOUNTS

We are pleased to forward herewith the Nation Media Group unaudited Half Year Group results for the six months to 30th June 2014, which include the Consolidated Statement of Comprehensive Income, the Statement of Financial Position and the Condensed Statement of Cash flows together with the narrative to accompany the financial results.

Please do not hesitate to contact us should you require any clarification.

Yours faithfully,
Nation Media Group Limited


J C KINYUA
GROUP COMPANY SECRETARY

CC: L. Gitahi
S. Gitagama

Nation Media Group Limited
Unaudited Group results for the six months to 30 June 2014

Consolidated Statement of Comprehensive Income

	June 2014 Kshs.million	June 2013 Kshs.million
Turnover	6,446.6	6,428.1
Profit before income tax	1,650.8	1,616.9
Income tax expense	(503.8)	(502.0)
Profit after income tax	1,147.0	1,114.9
Other comprehensive income	(19.3)	15.9
Total comprehensive income	1,127.7	1,130.8
Non controlling interest	9.8	3.7
	1,137.5	1,134.5
Earnings per share (Kshs)	6.03	6.02
Interim dividend per share (Kshs)	2.50	2.50

Statement of Financial Position

	30th June 2014 Kshs.million	31st December 2013 Kshs.million
Capital and reserves		
Share capital	471.4	471.4
Other reserves	114.2	132.4
Retained earnings	6,848.1	6,163.7
Proposed dividends	1,885.4	1,414.1
	9,319.0	8,181.6
Non controlling interest	52.0	61.8
Total equity	9,371.0	8,243.4
Non-current liabilities	71.3	84.4
	9,442.3	8,327.8
Assets		
Non-current assets	3,933.9	3,589.9
Working capital		
Current assets	8,392.2	7,854.3
Current liabilities	2,883.8	3,116.4
Net working capital	5,508.4	4,737.9
	9,442.3	8,327.8

Condensed Cash flow Statement

	6 months ended 30.06.14 Kshs.million	6 months ended 30.06.13 Kshs.million	12 months ended 31.12.13 Kshs.million
Cash generated from operations	1,212.5	1,175.2	3,402.3
Interest received	150.5	152.1	280.8
Interest paid	(6.6)	(10.1)	(15.3)
Tax paid	(685.2)	(816.3)	(1,422.9)
Net cash from operating activities	671.2	500.9	2,244.9
Net cash used in investing activities	(572.3)	(244.5)	(443.3)
Net cash used in financing activities	(13.3)	(9.9)	(1,668.2)
Increase in cash and cash equivalents	85.6	246.5	133.4
At start of period	4,093.7	3,960.3	3,960.3
At end of period	4,179.3	4,206.8	4,093.7

NATION MEDIA GROUP LIMITED

The Directors are pleased to announce the unaudited Group results for the six months period ended 30th June, 2014.

Group turnover increased marginally to Kshs.6.45 billion, while the profit before tax increased by 2.1% to Kshs.1.65 billion in comparison with the same period last year.

The void in income attributable to the General Elections, which boosted the results in the first half of 2013 was mitigated by a combination of new innovative income generation projects as well as sustained cost containment initiatives.

The operating environment in the local and regional economies continues to be challenging, as a result of adverse weather conditions as well as insecurity.

The Group will continue to take appropriate actions to mitigate the potential adverse effects of the challenges to its performance and is cautiously optimistic of sustaining growth in the remaining part of the year.

INTERIM DIVIDEND

The Directors have resolved to declare an interim dividend of Kshs.2.50 (100%) per share (2013: Kshs 2.50 per share) for the half year on the issued share capital of 188,542,286 ordinary shares of Kshs.2.50 each. The total interim dividend payout will amount to Kshs.471.4 million (2013: Kshs.471.4 million).

The dividend will be paid less withholding tax where applicable on or about 30th September, 2014, to shareholders registered at the close of business on 12th September, 2014.

The register of members will be closed from 15th September to 19th September 2014 both dates inclusive.

By order of the Board

J C Kinyua
GROUP COMPANY SECRETARY
28th August 2014